Company Registration Number: 05670663 (England & Wales)

ALDRIDGE EDUCATION

(A Company Limited by Guarantee)

TRUSTEES' REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 AUGUST 2019

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ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

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ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

REFERENCE AND ADMINISTRATIVE DETAILS

Members	The Rodney Aldridge Charitable Trust (trading as the Aldridge Foundation) Sir Rod Aldridge OBE James Sporle Shona Nicols (appointed 1 March 2019)
Trustees	Brent Thomas, Chair of Trustees Anand Aithal Sir Rod Aldridge OBE Tunde Banjoko OBE Richard Benton Janie Chesterton Caroline Sheridan Rob Wye (appointed 16 October 2018) Jane Waters (appointed 16 October 2018)
Company registered number	05670663
Company name	Aldridge Education
Principal and registered office	8 City Road London EC1Y 2AA
Company secretary	Theresa Palmer
Chief executive officer	Jane Fletcher
Executive Leadership Team	Richard Basset, Interim CEO (from 01/09/18 to 30/04/19) Jane Fletcher, CEO (from 01/05/2019) Kit Lam, COO Kelly Lincoln, Commercial Director Kerry Birch, Director of Human Resources Theresa Palmer, Director of Governance and Compliance Alan Brooks, Director of Marketing, Communications and External Affairs.
Independent auditors	Price Bailey LLP Chartered Accountants Causeway House 1 Dane Street Bishop's Stortford Hertfordshire CM23 3BT
Bankers	Lloyds Bank Plc Church Street Blackburn BB2 1JQ
Solicitors	Stone King Boundary House 91 Charterhouse Street London EC1M 6HR

TRUSTEES' REPORT
FOR THE YEAR ENDED 31 AUGUST 2019

The Trustees present their Annual Report together with the financial statements and Auditor's Report of Aldridge Education for the year ended 31 August 2019. The Annual Report serves the purposes of both a Trustees' Report, and a Directors' Report under company law.

The Trust operates 1 primary and 7 secondary academies serving catchment areas in Blackburn with Darwen, Salford, London and Brighton. The academies have a combined capacity of 7,710 and had a roll of 5,769 in the 2019 census.

Structure, Governance and Management

The Trust is a company limited by guarantee and an exempt charity. The Charitable Company's Memorandum and Articles of Association are its primary governing documents. The Trustees of the Charitable Company are also the Directors for the purposes of company law. The terms Trustee and Director are interchangeable. The Charitable Company includes the following academies:

Darwen Aldridge Community Academy (DACA)	Transferred from ANWET* on 01/09/2016
Darwen Aldridge Enterprise Studio (DAES)	Transferred from ANWET* on 01/09/2016
Darwen Vale High School (DVHS)	Transferred from ANWET* on 01/09/2016
Sudell Primary School (SPS)	Transferred from ANWET* on 01/09/2016
Brighton Aldridge Community Academy (BACA)	Joined the Trust on 1 May 2017
Portslade Aldridge Community Academy (PACA)	Joined the Trust on 1 May 2017
Duke's Aldridge Academy (Dukes)	Converted and joined the Trust on 01/09/2017
AldridgeUTC@MediaCityUK	Joined the Trust on 01/09/2018
Portslade Adult Education CIC	Joined the Trust on 01/09/2018

* Aldridge North West Education Trust

The operation of The Trust's academies and employment of staff are the responsibility of the Trustees. Throughout this report the Board of Trustees is referred to as the Trust Board (TB). The Trust retains control of academy budgets and finances, and monitors these through its Finance and Resources Committee (FRC). Each academy has a Local Governing Committee (LGC) who supports the Trust's FRC in the monitoring of their academy within agreed budgets.

Details of the Trustees who served throughout the period are included in the Reference and Administrative Details section. Within this report the term Trustee refers to a member of the TB and the term Governor to a member of an LGC. Details of the Trustees who served during the year are included in the Reference and Administrative Details section.

Members' Liability

Each Member of the Charitable Company undertakes to contribute to the assets of the Charitable Company in the event of it being wound up while they are a Member, or within one year after they cease to be a Member, such amount as may be required, not exceeding £10, for the debts and liabilities contracted before they ceased to be a Member.

Trustees and Officers' Indemnities

The Trust has opted to be covered under the Government's Risk Protection Arrangements (RPA) scheme to protect Trustees, Governors and Officers, from claims arising from negligent acts, omissions or errors whilst performing Trust business.

Method of Recruitment and Appointment or Election of Trustees

As stated in the Articles, the Members of Aldridge Education have authority to appoint Trustees and recently confirmed two further Trustee appointments to include the Chief Executive Officer (CEO) and one other, bringing the total number to ten (10).

Trustees each have a four-year term of office. All appointments made to date reflect a broad and balanced range of skills which ensures effective governance and oversight of the Academy Trust.

The Board of Trustees delegates some of its responsibility at local level through Local Governing Committees. All academies within the Trust were able during the year to have the following breakdown of governors:

a) 5 Governors appointed by Trustees
b) 2 Parent Governors, elected by Parents
c) 1 Staff Governor, elected by Staff;
d) 1 Principal.

Policies and Procedures Adopted for the Induction and Training of Trustees and Governors

The Trust is committed to providing adequate opportunities for Trustees and Governors to undertake and receive suitable training so as to enable them to perform their role effectively. The training and induction provided for new Trustees depends on their existing experience as determined through the recruitment and induction process, as well as the annual skills audit. Where necessary, training is provided on charity and educational, legal and financial matters. All new Trustees are given a tour of the academies and the chance to meet with staff and students. They are provided with copies of appropriate policies, procedures, minutes, accounts, budgets, plans and other documents that they will need to undertake their role as Trustees.

Organisational Structure

The governance of the Trust is defined in the Memorandum and Articles of Association together with the Funding Agreement with the Department for Education.

The Trust Board meets on at least 4 occasions per year and its 2 sub-committees [FRC and Standards Committee (SC)] at least 3 times per year. The TB is responsible for the strategic direction of the Trust. The Trustees are responsible for setting strategic policy, adopting an annual plan and budget, monitoring the Trust by the use of those budgets and making major decisions about the direction of The Trust, capital expenditure and senior staff appointments. Each individual academy has a Local Governing Committee. Legal responsibility for the Trust lies with the TB, but this Board relies on the advice and support of the LGCs. The Governors within their LGCs support their academies in the implementation of strategic policy, ensuring the appropriateness of annual budgets and capital expenditure projects, as well as scrutiny performance against budgets and authorised capital limits.

The Senior Leadership Teams (SLTs) control the academies at an executive level, implementing policies and reporting to their LGC and the Trust CEO. Each SLT is responsible for the day to day operation of their academy, in particular organising staff, resources and students. They are responsible for the authorisation of spending within agreed budgets and for the appointment of staff, following vetting and safeguarding recruitment processes.

The Executive Team (ET) looks across the Trust and aligns local SLT and LGC activity with the strategic aims of The Trust as a whole.

The Trust's CEO is the Accounting Officer.

Arrangements for Setting Pay and Remuneration of Key Management Personnel

Key management personnel include Trustees and those staff to whom the Trustees have delegated significant authority and responsibility in the day-to-day running of the Trust.

Each academy operates its own remuneration policy based on an appraisals system. National team appointments are filled through a competitive process and remuneration is agreed as part of that recruitment exercise. In relation to pay levels which may be affected by nationally agreed pay awards and the ability to recruit and retain in post, this is currently approved by the CEO and ratified by the FRC. The Board have formed a remuneration committee to support the CEO in formalising a strategic approach.

Trade Union Facility Time

Relevant union officials

Number of employees who were relevant union officials during the relevant period: 8

Full-time equivalent employee number

Percentage of time	Number of employees
0%	8
1% - 50%	0
51% - 99%	0
100%	0

Percentage of pay bill spent on facility time

Provide the total cost of facility time	0
Provide the total pay bill	0
Percentage of total pay bill spent on facility time	0%

Paid trade union activities

Time spent on paid trade union activities as a percentage of total paid facility time hours 0%

Related Parties and other Connected Charities and Organisations

Owing to the nature of the Trust's operations and the composition of the Board of Trustees being drawn from local public and private sector organisations, it is inevitable that from time to time transactions will take place with organisations in which members of the TB may have an interest. All transactions involving such organisations are conducted at arm's length and in accordance with the Trust's financial regulations and normal procedures. Any transaction where the Trustee may have a pecuniary interest is only undertaken in accordance with the 'at cost' principle described in the Academies Financial Handbook.

The Trust cooperated with the following organisations during the academic year in pursuit of its charitable activities:

- The DfE and local authorities; and with other local schools and other local and national organisations which share similar aims and objectives;
- The Trust works closely with The Rodney Aldridge Charitable Trust (trading as the Aldridge Foundation), chaired by Sir Rod Aldridge OBE;
- The Trust receives a reimbursement from Aldridge Foundation of costs for marketing support;
- The Trust receives a reimbursement from RMAI Ltd for occupancy costs at the Trust's central offices. Aldridge Wealth is the trading name of RMAI Ltd, which is a privately owned company of Sir Rod Aldridge.
- Brighton Aldridge Community Academy has a short-term contract with My Local Pitch Ltd to assist in the management of school lettings secured through a competitive process. Sir Rod Aldridge, a Trustee has a 1% shareholding in My Local Pitch.
- Kensington Aldridge Academy received charges for support from the Trust as part of the Aldridge family of schools.

Objectives and Activities

Objects and Aims

The principle object and aim of the Charitable Company is the operation of a number of academies to provide free education and care for students of different abilities within its local community between the ages of 4 and 19. During the year the Trust operated 8 academies and an adult education provision in the South East. Aldridge Education was also the sponsor of a single academy trust school and the co-sponsor of aUniversity Technology College.

Our Mission

The Trust's mission is summed up in our strapline: Lives transformed through entrepreneurial education.

An enterprising student responds creatively to problems, grows from failure and is hungry for new experiences. A pupil with an entrepreneurial mindset is 'work ready', they have a goal to work towards and do so with passion and determination. We recognise that our pupils will not develop these habits and mindsets unless we model these for them. We seek the same objectives for our organisation, our people and our schools. We aim to be solution-focused, learning-orientated and hungry for growth.

We exist to serve the needs of all in our communities – including those who are the most disadvantaged and the hardest to reach; we believe each young person has skills to be developed and the potential to enjoy life and contribute to their community in a meaningful way. This belief shapes the way we think, the way we speak, the way we act, the way we recruit, the way we make decisions and the way we are building our schools.

The Aldridge Attributes are fundamental to our mission – we believe that developing strength in each of these equips our community to be self-motivated, enthusiastic learners and empowers them for the future – this is the essence of an enterprising mindset:

- Problem-solving – the ability to express and interpret challenges, concepts, thoughts, feelings, facts and opinions.
- Creativity – the ability to look at things in a new way and seek different solutions.
- Risk-taking – not being afraid to try something new or do something differently.
- Determination – the movement towards a goal, and resilience to difficulties along the way.
- Passion – the drive to achieve and succeed.
- Teamwork – a co-ordinated effort on the part of a team or in the interests of a common cause.

To this end, activities provided in the year by the Trust's academies included:

- Learning opportunities for all students to obtain meaningful and relevant academic qualifications
- Learning and progression/careers advice for all students, particularly those at critical stages in their education
- Opportunities for all students to take part in entrepreneurial activities within and outside of the formal learning environment
- Opportunities for all students to engage in extra-curricular and enrichment activities across a broad range of disciplines, and
- Training opportunities for all staff.

This strategy is supported by:

- An experienced Chief Executive Officer (CEO) and a specialist team leading education strategy and driving educational improvement across all academies.
- Formal action plans for each academy based on robust reviews of provision and forensic analysis of data, informing educational support plans and impacting upon standards
- Leadership development programmes, subject specialists working across academies, and bespoke support for academy priorities from experts in their fields
- Robust processes for target setting, tracking progress and key performance indicators, and subsequent intervention, and
- Coaching programmes for educational staff to achieve consistency in practice and to support the raising of standards.

Public benefit

In shaping the Trust's plans and activities during the year under review the Trustees have considered the Charity Commission's guidance on public benefit, including the guidance, 'Public benefit: running a charity'. The Trust's principal activity is to advance education for the public benefit, by establishing, maintaining, operating and developing schools including, but not limited to, academies offering a broad curriculum with a strong emphasis on entrepreneurship.

Achievements and Performance

Overview

Since the Trust was established as a national organisation in 2016 it has grown and is operating with eight schools across the North West, South East and North London. This includes a new academy in Salford, Aldridge UTC@MediaCityUK, and an adult learning provider, Portslade Adult Education CIC, joining the Trust on 1 September 2018. This starts to further realise the Trust's strategy to grow its school base through the development of clusters of academies and colleges in three geographic areas; the north-west, the south-east and in London.

As a Trust of eight schools and with an adult learning provision, there is increased opportunity to share educational best practice and to realise financial savings through economies of scale. Specific achievements during the year were as follows:

- The recruitment of subject specialists in English and Maths to support our schools in raising attainment and achievement. These were recruited early in the year for the northern schools and in readiness for September 19 for our southern schools.
- The recruitment of an Associate Principal to work across the Trust supporting Principals in meeting key educational priorities
- Regional training provided in the summer term to deliver key training pertinent to the year ahead. Building these links between schools and working together for training allows schools to share best practice, learn f rom each other and get better faster by seeing a model of good practice.
- The support of Trust Leads in the north working in partnership with school leaders saw improvements in performance across all five northern schools in English and Maths combined outcomes.
- Partnership working, not only with Trust Leads but also with staff from an Aldridge secondary school in the same town, supported our primary school in very significant gains in outcomes at Key Stage 2.

In addition, each cluster is led supported by a Finance Director reporting to the Trust Chief Operations Officer. This model is cost-effective and brings greater financial accountability, which is reflected in an improved financial position for the Trust.

In addition to the development and retention of staff Tthe Trust continued its mission; sets clear goals to ensure that students achieved their potential in public examinations; are encouraged to benefit from a wide range of extra-curricular activities; developed and retained suitable staff and guided studentsand progress into further or higher education and university, or into employment or an apprenticeship in suitable progression when they left their Academy.

Key Performance Indicators

The Trustees receive regular information at each committee and sub-committee meeting to enable them to monitor the performance of the Trust compared to aims, strategies and financial budgets.

Current Ofsted profile

Academy	Previously	Current Ofsted grade as an Aldridge Academy
Darwen Aldridge Community Academy	Good 16/01/13	Good 23/05/17
Brighton Aldridge Community Academy	Requires Improvement 03/12/14	Good 30/11/16
Portslade Aldridge Community Academy	Requires Improvement 13/11/14	Good 09/11/16
Darwen Aldridge Enterprise Studio	Brand new school Sept 2013	Good 26/03/15
Darwen Vale High School	*Inadequate 12/06/13* (predecessor school)	Requires Improvement 06/12/17
Sudell Primary School	Requires Improvement 06/06/13 *(predecessor school)*	Require Improvement with good Early Years provision, 22/02/18.
Duke's Aldridge Academy	*Good 19/10/16 (predecessor school)*	Good 6/11/19
AldridgeUTC@MediaCityUK	Requires improvement 17/09/18	Not inspected since joining the Trust
Aldridge Adult Learning	N/A	N/A Monitoring visit1/2 October 2019 (Reasonable Progress)

There were no Ofsted inspections of Trust schools during the course of the 2018-19 year. Published exam esults in six out of the eight Aldridge schools improved in August 2019 with the most marked improvement seen at Sudell Primary. This is one of the two Aldridge schools graded as requiring improvement currently, the other being Darwen Vale High School where results also improved and moved closer to nationally expected outcomes in both attainment and progress.

As a single academy trust sitting within the Alridge family, Kensington Aldridge Academy received its first set of GCSE results with these coming in at nationally expected standards and with particularly strong performance in English.

Summary School Improvement Data

The following data relates to schools which are part of the Aldridge Education multi-academy trust. This data will differ slightly from that produced in the government's performance tables as schools only count in MAT figures for a trust when they have been with the trust for three years. However, for the sake of completeness and transparency, all data is included in this document. Our data also includes, both here and in the DfE's performance tables, the results for Kensington Aldridge Academy and UTC@harbourside which, though single academy trusts in their own right, are sponsored by Aldridge Education and are therefore a part of the Aldridge family of schools. Despite our very best efforts and during a year of exceptional performance, UTC@harbourside closed on 31 August 2019, due to low student numbers making the UTC financially unsustainable. Our students were able to complete their courses without interuption and the UTC completed its final year of operations with a strong set of GCSE results.

Contextual Data

Children entering Aldridge Education schools from pPrimary are all, on average, between -3.3 and -1.0 points behind their peers nationally. This reflects our focus on working with schools serving the most disadvantaged communities and our commitment that we leave no child behind, regardless of the obstacles they may face.
Against that context our estimated MAT average Progress 8 score across all Aldridge schools for 2019 is -0.27 with the Attainment 8 score 41.6. The Progress 8 score is influenced by the fact that three of our nine schools in this year's statistics are 14-19 provision. The estimated Progress 8 measure for our 'typical point of entry' schools in 2019 is -0.16.

Sixth-Form Key Stage 5 A-Level and Equivalent Qualification Data (Provisional Results)
ATTAINMENT

	Academic		Vocational	
Aug-19	%A*-B	%A*-E	%D*-D	%D*-P
Darwen Aldridge Community Academy	44.8	97.9	48.4	99
Brighton Aldridge Community Academy	27.3	100	53.8	98.7
Portslade Aldridge Community Academy	21.1	86.8	34.7	100
Darwen Aldridge Enterprise Studio	52.2	100	30.6	85.7
Kensington Aldridge Academy	39.7	N/A	68.2	N/A
AldridgeUTC@MediaCityUK	52.4	95.2	50	100
UTC@harbourside *(Closed August 2019)*	15.1	92.5	51.4	100
National Average	51.6	97.6	N/A	N/A

Darwen Aldridge Community Academy Sixth-Form continued its impressive record this year with a pass rate that exceeded the national average, with 45% of A-Level passes at the very highest grades. Performance in vocational qualifications was equally strong. Overall 3 in 4 students accepted offers for university places, approximately two-thirds of whom were the first members of their family to attend. DACA is currently our largest of our sixth form and we are proud of their ongoing performance with their Level 3 Value Added score likely to place them in the top 20% nationally for academic performance.

Darwen Aldridge Enterprise Studio also had strong A-Level results (100% pass with 52% at highest grades) and solid vocational results. Vocational results at UTC@harbourside showed a significant improvement with strong outcomes for the 2019 cohort.

PROGRESS

	Academic L3VA	Applied General L3VA
Darwen Aldridge Community Academy	0.17	0.19
Brighton Aldridge Community Academy	-0.26	0.02
Portslade Aldridge Community Academy	-0.76	-0.8
Darwen Aldridge Enterprise Studio	0.71	-0.91
Kensington Aldridge Academy	0.29	N/A
AldridgeUTC@MediaCityUK	-0.02	0.06
UTC@harbourside *(Closed August 2019)*	-0.38	0.35

Secondary School Key Stage 4 GCSE Data (Provisional Results)

ENGLISH AND MATHS

English GCSE August 2019	%9-4 (Good Pass)
Darwen Aldridge Community Academy	66%
Brighton Aldridge Community Academy	72%
Portslade Aldridge Community Academy	63%
Darwen Vale High School	75%
Duke's Aldridge Academy	56%
Kensington Aldridge Academy	83%
National Average (state funded schools)	76%

Maths GCSE August 2019	%9-4 (Good Pass)
Darwen Aldridge Community Academy	68%
Brighton Aldridge Community Academy	51%
Portslade Aldridge Community Academy	69%
Darwen Vale High School	68%
Duke's Aldridge Academy	63%
Kensington Aldridge Academy	66%
National Average (state funded schools)	70%

Combined passes

	4+ match Best English and Maths	5+ match Best English and Maths
Darwen Aldridge Community Academy	59	34
Brighton Aldridge Community Academy	45	18
Portslade Aldridge Community Academy	53	33
Darwen Vale High School	62	39
Duke's Aldridge Academy	51	32
Kensington Aldridge Academy	65	35

2019 saw improvements in attainment at the majority of mainstream Aldridge secondary schools.

At BACA, English results shot up with 9-5 grades rising by 20% and 9-4 grades rising by 7%. Attainment 8 also rose for the second year running and by nearly 3 points from 2018. EBACC attainment measures also rose from 2018.

DACA saw a significant increase with combined English and maths rising by 8% from 2018 at both 5+ and 4+. Duke's maths results rose by 1% in 2019 and across all subjects, more students gained at least one grade 9 (10.6%). Modern Foreign Language results are strong at Duke's with 84% of students gaining at least a grade 4 at GCSE.

Performance in Science at PACA improved in 2019 with 11.4% of entries gaining 7+, 53% gaining 5+ and 70% gaining 4+. 10% of students gained a 7+ in MFL.

At the AldridgeUTC@MediaCityUK, overall attainment rose by nearly 2 points with 5+ English and Maths rising

by 10% and 4+ English and maths rising by 4%.

A-Typical Entry Point Key Stage 4 GCSE Data (Provisional Results)

Darwen Aldridge Enterprise Studio school, the AldridgeUTC@MediaCityUK and the UTC@harbourside were all atypical point of entry schools with GCSE results in August 2019. Students enter the Studio at Year 9 and enter the UTCs at Year 10. They have either undertaken Key Stage 2 at other schools or, in some cases, been home educated until this point. Each of these schools has a specialist focus to the curriculum they provide and do not follow all elements of the National Curriculum. However, all students study English, maths and Science alongside their specialist subjects.

Aug-19	English %9-4	English 9-5	Maths %9-4	Maths9-5	Combined pass %9-4	Combined pass 9-5
Darwen Aldridge Enterprise Studio	51%	29	51%	29	41%	22
Aldridge UTC@MediaCityUK	68%	53	59%	36	51%	31
UTC@harbourside	58%	35	82%	59	59%	29

We have seen progress in all of our schools with atypical points of entry. At UTC@harbourside, results at 4+ in English and maths shot up by a staggering 29%.

The Studio school also saw significant gains in attainment with Attainment 8 rising by 5.4 points – meaning that students have achieved on average at half a grade higher across all of their progress 8 subjects than they did in 2018. Combined 5+ results rose by 7% and 4+ results by 11%.

At the AldridgeUTC@MediaCityUK, overall attainment rose by nearly 2 points with 5+ English and maths rising by 10% and 4+ English and maths rising by 4%.

PROGRESS 8 & ATTAINMENT 8

School/ Combination	Unvalidated Progress 8	Unvalidated Attainment 8
BACA	-0.13	41.3
DACA	-0.36	42.3
Duke's	0.01	39.5
DVHS	-0.47	42.4
KAA	0.01	46.7
PACA	-0.04	42.3
DAES	*-1.05*	*34.3*
UTC@harbourside	*0.06*	*48.5*
AldridgeUTC@MediaCityUK	*-0.85*	*37.8*
All Schools	-0.27	41.6
All schools likely to be reported for Aldridge Education in the government's performance tables	-0.25	42.8
All mainstream schools	-0.16	42.3
All mainstream schools likely to be reported for Aldridge Education in the government's performance tables	-0.21	43.2

It is positive to see improvements in Attainment 8 and Progress 8 for the majority of our schools. Brighton Aldridge Community Academy has seen a shift of close to 0.3 in its progress measure and a rise of 3 points in its Attainment 8 figure, suggesting that performance from starting points across a range of subjects has improved.

Darwen Aldridge Community Academy has moved by 0.18 in its progress measure and Darwen Vale has seen a highly significant rise of 0.44 in its progress measure since summer 2018. Kensington Aldridge Academy had its first set of GCSE outcomes this summer and, despite the tragic circumstances of the adjacent Grenfell Tower fire in which the school was operating for this cohort, saw students performing in line with national expectations. Both Duke's and Portslade Aldridge Community Academy have also performed in line with national expectations.

Both the Government and Ofsted are clear that progress and attainment 8 measures are not appropriate indicators for judging the performance of schools exempt from typical curriculum provision. Nonetheless, we can report that all three of our schools meeting this definition have improved their outcomes across the board such that progress and attainment indicators have risen in each of them since 2018.

Primary School Key Stage 1 & 2
Sudell Primary School is currently the only primary school in the multi-academy trust.

Early Years

	% Achieving GLD			Combined	
	Maths	Reading	Maths	% EXP	% GLD
Sudell	73.7	73.7	68.4	68.4	68.4
National	78.5	76.9	73.7	71.8	71.8

Phonics

	% Expected	
	Year 1	Year 2 (Cumul.)
Sudell	66.7	85.2
National	82	91

Key Stage 1

	% Working at the Expected Standard				% Working at Greater Depth			
	Reading	Writing	Maths	Combined	Reading	Writing	Maths	Combined
Sudell	65.4	57.7	69.2	46.2	15.4	3.8	15.4	3.8
National	75	69	76	-	25	15	22	-

Key Stage 2

	% Students at or above expected level				
2018/19 Key Stage 2	Maths	Reading	Writing	Combined Score	v. National Average
Sudell Primary School	94%	72%	72%	72%	7%
National Average	79%	73%	78%	65%	

	% Working at Greater Depth				
	Reading	GPS	Maths	Writing TA	Combined
Sudell	38.9	44.4	22.2	22.2	11.1
National	27	36	27	20	11
BWD	24	39	25	18	9

The progress at Sudell Primary School in July 2019 has been excellent with significant jumps in all areas at Key Stage 2, such that the school is now performing above the national standard in combined reading, writing and maths and significantly above it in maths. Students at Sudell also perform in line with national averages for greater depth and at a slightly higher standard than Blackburn with Darwen overall.

Leaders at Sudell have focused relentlessly on school improvement to effect these changes. The quality of teaching has improved and forensic tracking of individual pupil performance has meant that gaps could be closed day by day. Expectations are set high by leaders at Sudell and the impact of this shows through in the Key Stage 2 results in 2019. Staff at Sudell have been well-supported by staff from a local Aldridge secondary school and by the northern Trust Leads in English and maths, who have worked with Sudell leaders in a combined approach to fill learning gaps and improve outcomes.

The school continues to improve its capacity through development of staffing and seeks to maintain and build on 2019 performance in future years.

Student Population

In total the Trust's student roll at the last census date in 2019/20 (October 2019) was 5,769. This represents an increase over the previous year of 156 students. This growth reflects the growing popularity of our schools in the communities they serve. Of the number on roll in October 2019, 154 were in primary provision, 5,245 were in pre-16 and 370 were in post-16 provision.

Other Indicators

Another key financial performance indicator is staffing costs as a percentage of total income. For 2018/19 this was 78% against set parameters between 70 - 80%. The Trustees are confident that staffing levels are closely monitored to agreed Full Time Equivalents and staffing structures all approved by the Trust Board.

The Finance and Resources Committee also monitor premises costs to General Annual Grant (GAG) income, capitation spend for curriculum departments to GAG income, total income less grants and cash flow on a regular basis to ensure that the budget is set and managed appropriately. All of the above KPI's were within the parameters set by the Trust Board.

The Finance and Resources Committee also monitor premises costs to General Annual Grant (GAG) income, capitation spend for curriculum departments to GAG income, total income less grants and cash flow on a regular basis to ensure that the budget is set and managed appropriately. All of the above KPI's were within the parameters set by the Trust Board.

Going Concern

After making appropriate enquiries, the Trustees have a reasonable expectation that the Trust has adequate resources to continue in operational existence for the foreseeable future. For this reason it continues to adopt the going concern basis in preparing the financial statements. Further details regarding the adoption of the going concern basis can be found in the Statement of Accounting Policies

Financial Review

Most of the Trust's income is obtained from the DfE through its agency, the Education and Skills Funding Agency (ESFA), in the form of grants. The main grant being the General Annual Grant (GAG) which is restricted to particular purposes. For the year ended 31 August 2019 the Trust received £53.585m of GAG and other income. A high percentage of this income is spent on wages and salaries and support costs to deliver the Trust's primary objective of the provision of education. During the year the Trust spent £41.232m on total expenditure, excluding depreciation. This was funded by incoming resources of £42.036m excluding net assets donated and transfer balances from academies joining the Trust in the year.

The Trust brought forward from 2017/18, £106.563m restricted funds (including restricted fixed asset fund) and (£1.393m) unrestricted funding. During the year, the Trusts was able to clear its deficit position and held a unrestricted funds surplus of £168k to carry forward to 2019/20. The deficit of £14.971m on restricted funds relates to the Trusts pension deficit. The restricted fixed asset fund stands at £123.057m.

The Trust has set a surplus budget for 2019/20 for the Trust as a whole, and expects to hold a modest reserve by the close of the year, in line with the Trusts Reserve Policy.

Due to the accounting rules for the Local Government Pension Scheme under FRS102, the Trust is recognising a significant pension fund deficit of £14.791m. This does not mean that an immediate liability for this amount crystallises and such a deficit generally results in a cash flow effect in the form of increased employer contributions over a number of years.

Reserves Policy

The Trustees regularly review the reserve levels of the Trust. This review encompasses the nature of income and expenditure streams, the need to match income with commitments, and the nature of reserves. The overarching aims of the policy are to:

- Ensure that financial resources are deployed in the most effective way possible in order to enhance educational performance
- Ensure that there is a balance between retaining reserves to mitigate risk and investing for the benefit of all students, both current and future
- Ensure that there is transparency over the retention of reserves, establishment of academy financial targets and the setting of academy contribution level;
- Provide a mechanism for funds to be advanced between academies, and
- provide an incentive for academies to seek new sources of income.

Trustees have approved a budget for 2019/20 and a three-year financial plan that requires each academy to operate to a surplus budget to start to increase the Trust's reserves position over the short to medium term. The Trustees have made a decision to earmark funds from the 2019/20 in-year budget surplus to support IT technical refreshes of equipment no longer supported in a Window's 10 environment.

There is a deficit of £14.971m (2018: £8.313m) on the pension reserve, representing a long-term liability to the Trust. The government has guaranteed to meet pension liabilities in the event of an Academy Trust ceasing to operate.

Investment Policy

The Trustees' investment powers are governed by the Memorandum and Articles of Association. There are currently limited funds available for long-term investment and any surplus funds which are retained remain in the Trust's current account, which attracts a small amount of interest.

Principal Risks and Uncertainties

The Trustees report that the Trust's financial and internal controls conform to guidelines issued by the ESFA, and that improvements to the wider framework of systems dealing with business risk and risk management strategy continue to be made and formally documented.

The Trust works with its FRC and SC in maintaining a central risk register. The LGCs maintain school-based risk registers. These registers identify the major risks, to which each academy is exposed, and identifies actions and procedures to mitigate those risks. This central risk register is approved and monitored by the FRC using a formal review process which is undertaken on an annual basis. The Trust Board will have oversight of the central risk register. The principal risks facing the Trust are outlined below; those facing each academy at an operational level are addressed by its systems and by internal financial and other controls.

It is recognised that systems can only provide reasonable but not absolute assurance that major risks have been adequately managed. As a group of academy schools, the level of financial risk is manageable. Cash flows can be reliably forecast, monitored and reported. Staff costs make up the majority of expenditure and are relatively stable with contingencies in place to cover such items as sickness and maternity.

The Trustees assess the other principal risks and uncertainties facing the Trust as follows:

- Each academy within the Trust has considerable reliance on continued Government funding through the ESFA and there is no assurance that Government policy or practice will remain the same or that public funding will continue at the same levels or on the same terms
- Failures in governance and/or management - the risk in this area arises from potential failure to effectively manage the Trust's finances, internal controls, compliance with regulations and legislation, statutory returns, etc. The Trustees continue to review and ensure that appropriate measures are in place to mitigate these risks
- Reputational - the continuing success of the individual academies is dependent on continuing to attract applicants in sufficient numbers by maintaining the highest educational standards. To mitigate this risk Trustees ensure that student progress and outcomes are closely monitored and reviewed
- Safeguarding and child protection - the Trustees continue to ensure that the highest standards are maintained in the areas of selection and monitoring of staff, the operation of child protection policies and procedures, health & safety and discipline
- Staffing - the success of the academies is reliant on the quality of its staff and the Trustees monitor and review policies and procedures and recruitment to ensure continued development and training of staff, as well as ensuring there is clear succession planning
- Fraud and mismanagement of funds - The Trust has appointed Buzzacott LLP to carry out independent and external checks on financial systems and records as required by the Academy Financial Handbook. All finance staff receive training to keep up to date with financial practice requirements and develop their skills in this area
- Financial instruments – the Trust only deals with bank balances, cash and trade creditors, with limited trade (and other) debtors. The risk in this area is considered to be low;and
- Defined benefit pension liability – as the Government has agreed to meet the defined benefit pension liability of any academy ceasing to exist, the main risk to the Trust is an annual cash flow funding of part of the deficit. Trustees take these payments into account when setting the annual budget plan.

The Trust and each academy have continued to strengthen its risk management process throughout the year by improving the process and ensuring staff awareness.

Fundraising

The Trust does not use any external fundraisers. Any fundraising such as summer fairs, Christmas fetes and non-uniform days that is undertaken during the year is monitored by the Trustees.

Goals for Future Periods

The Trust's Strategic Plan details the following five goals:

- We will have a clear Aldridge educational model which is embedded in our schools, supports strong outcomes and which supports high quality and valued PD for our people so that they can build a career with Aldridge. As a result, this model is appealing to others.
- Our schools will be strong providers with above average outcomes and recognised as such by external evaluation.

- We will have a clear Aldridge operational model which is understood and owned by leaders in schools and centrally. The model supports both efficient and effective working partnerships. Because work is done by experts, it is high quality. Risk is well-managed, money is well spent and leaders are free to focus on learning.
- We will be financially independent and stable. Our existing schools will be financially stable and there will be a structure in place to allow for additions to the Trust where finances are not yet stable.
- We grow in a sustainable way and ensure that our clusters are able to sustain their own requirements.

Employees and Disabled Persons

The aim of this policy is to ensure that the Trust's commitment to equality of opportunity for all of its students, parents, carers, governors, staff, contractors and visitors is demonstrated in practice, thereby supporting the moral purpose and values that Aldridge Education holds.

Apart from a general commitment to equality and diversity, the policy specifically covers the following protected characteristics: age, disability, gender reassignment, pregnancy and maternity, race, religion or belief, sex, sexual orientation, marriage and civil partnership.

Employee Involvement

Where appropriate, the Trust consults on matters such as policy, pay, health, safety and welfare with the relevant support staff and teaching trades unions. The Trust provides information to employees generally by way of email, memoranda and staff meetings. At each of the schools, information is channelled via leadership meetings and staff briefings. Employees are encouraged to familiarise themselves with Ofsted reports, available from the Trust website and student I progress and attainment statistics, when they are made available. The Trust is in the process of establishing formal staff representative groups to allow for greater staff engagement.

Equal Opportunities Policy

It is the Trust's policy to ensure equality of opportunities is afforded to staff, students and other stakeholders. Training, career development and promotion opportunities are available to all employees.

Disabled Persons

Applications for employment by disabled persons are given full and fair consideration for all vacancies in accordance with their particular aptitude and abilities. In the event of employees becoming disabled then every effort is made to retrain them in order that their employment within the Trust may continue.

Auditor

Insofar as the Trustees are aware:

- There is no relevant audit information of which the Charitable Company's Auditor is unaware, and
- The Trustees have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the Auditor is aware of that information.

The Trustees' Report, incorporating a strategic report, was approved by order of the Board of Trustees, as the company directors, on 20.12.19 and signed on its behalf by:

Brent Thomas
Chair of Trustees

ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

GOVERNANCE STATEMENT

Scope of responsibility

As Trustees, we acknowledge we have overall responsibility for ensuring that Aldridge Education has an effective and appropriate system of control, financial and otherwise. However, such a system is designed to manage rather than eliminate the risk of failure to achieve business objectives, and can provide only reasonable and not absolute assurance against material misstatement or loss.

The Board of Trustees has delegated the day-to-day responsibility to the CEO, as Accounting Officer, for ensuring financial controls conform with the requirements of both propriety and good financial management and in accordance with the requirements and responsibilities assigned to it in the funding agreement between Aldridge Education and the Secretary of State for Education. They are also responsible for reporting to the Board of Trustees any material weaknesses or breakdowns in internal control.

Governance

The information on governance included here supplements that described in the Trustees' Report and in the Statement of Trustees' Responsibilities. The Board of Trustees has formally met 5 times during the year. The Board met fewer than 6 times during the year. The Board is satisfied that through the use of sub-committees it maintains effective oversight of funds.

Attendance during the year at meetings of the Board of Trustees was as follows:

Trustee	Meetings attended	Out of a possible
Brent Thomas, Chair of Trustees	5	5
Anand Aithal	4	5
Sir Rod Aldridge OBE	3	5
Tunde Banjoko OBE	4	5
Richard Benton	4	5
Janie Chesterton	4	5
Caroline Sheridan	5	5
Rob Wye	5	5
Jane Waters	2	5

Review of the year:

The Board regularly carries out a self-evaluation of its membership to ensure the right number of Trustees with the right skills mix. The Trustees will consider, support and challenge information reported by the Executive Team in terms of the delivery of the Trusts strategic and operational plans. A full independent review of the wider governance of the Trust will supplements this self-evaluation.

The Trust Board delegates responsibilities to the Trust's sub-committees which includes the Finance and Resources Committee, Education Standards Committee and Local Governing Committees. The sub-committees strengthen the Trust's accountability arrangements through rigour and challenge in greater levels of detail to provide trustees with assurance of the Trust's overall effectiveness.

During the course of the year, the Trust commenced:

- The updating of its Master Funding Agreement and Supplementary Funding Agreements to adopt the DfE's latest models;
- Reviewed the Trust's scheme of Delegation to clarify roles and responsibilities of the Trust Board, its various sub-committees and executive team; and
- The review of the local governance arrangements in place to avoid duplication of efforts and to fully utilise the effective strengths of the Trust's Local Governing Committees.

Governance (continued)

Committees

The Finance and Resources Committee reports to the main Board of Trustees. Its purpose is to address internal and external audit arrangements, financial matters and procedures.

Attendance during the year at meetings was as follows:

Trustee	Meetings attended	Out of a possible
Anand Aithal	5	6
Sir Rod Aldridge OBE	4	6
Richard Benton	4	6
Brent Thomas	6	6

The Education Standards Committee also reports to the main Board of Trustees. Its purpose is to monitor and advise on matters relating to the Trust's curriculum, quality and standards.

Attendance during the year at meetings was as follows:

Trustee	Meetings attended	Out of a possible
Janie Chesterton	1	4
Caroline Sheridan	4	4
Jane Waters	4	4
Rob Wye	4	4

Review of value for money

As Accounting Officer, the CEO has responsibility for ensuring that the Trust delivers good value in the use of public resources. The Accounting Officer understands that value for money refers to the educational and wider societal outcomes achieved in return for the taxpayer resources received.

The Accounting Officer considers how the Trust's use of its resources has provided good value for money during each academic year, and reports to the board of Trustees where value for money can be improved, including the use of benchmarking data where appropriate. The Accounting Officer for the Trust has delivered improved value for money during the year in order to improve educational results and the life chances for our students. The Trust is committed to supporting students to realise their full potential through academic achievement, extra-curricular opportunities and extended learning, to develop the whole person to help prepare them for higher education, further training or work.

The Trust has taken a range of steps to support school improvement for our students and to raise their attainment and aspirations by ensuring:

- A comprehensive curriculum offer that is continually reviewed to support our students to deliver the best possible educational outcomes. The Trust strives to efficiently match staffing structures to curriculum need through use of curriculum-led financial planning tools.
- There is financial governance and oversight to mindfully balance expenditure against income across the Trust with a drive to reducing inefficiencies and waste.
- A programme of Trust wide procurement to achieve best value for all purchases. The underlying values of challenge, compare, consult and compete assists us in our cost-effectiveness.
- Collaboration between the Aldridge Schools and with external partners to achieve economies through size and shared structures and practices.

The purpose of the system of internal control

The system of internal control is designed to manage risk to a reasonable level rather than to eliminate all risk of failure to achieve policies, aims and objectives. It can, therefore, only provide reasonable and not absolute assurance of effectiveness. The system of internal control is based on an on-going process designed to identify and prioritise the risks to the achievement of Trust policies, aims and objectives, to evaluate the likelihood of those risks being realised and the impact should they be realised, and to manage them efficiently, effectively and economically. The system of internal control has been in place in Aldridge Education for the year 1 September 2018 to 31 August 2019 and up to the date of approval of the annual report and financial statements.

Capacity to handle risk

The Board of Trustees has reviewed the key risks to which the Trust is exposed together with the operating, financial and compliance controls that have been implemented to mitigate those risks. The Board of Trustees is of the view that there is a formal ongoing process for identifying, evaluating and managing the Trust's significant risks that has been in place for the year 1 September 2018 to 31 August 2019 and up to the date of approval of the annual report and financial statements. This process is regularly reviewed by the board of Trustees.

The risk and control framework

The Trust's system of internal financial control is based on a framework of regular management information and administrative procedures including the segregation of duties and a system of delegation and accountability. In particular, it includes:

- comprehensive budgeting and monitoring systems with an annual budget and periodic financial reports which are reviewed and agreed by the board of Trustees
- regular reviews by the Finance and Resources Committee of reports which indicate financial performance against the forecasts and of major purchase plans, capital works and expenditure programmes
- setting targets to measure financial and other performance
- clearly defined purchasing (asset purchase or capital investment) guidelines
- delegation of authority and segregation of duties
- identification and management of risks

The Board of Trustees has considered the need for a specific internal audit function and has decided to appoint Buzzacott LLP as Internal Auditor.

The Internal Auditor's role includes giving advice on financial matters and performing a range of checks on the Trust's financial systems. The internal audit follows a risk-based review programme which includes a general review and two detailed reviews each year. The checks carried out in the current period included:

- A review of general key financial systems and controls
- A detailed review of cash and banking
- A detailed review of payroll and expenses.

On a termly basis, the Internal Auditor reports to the Board of Trustees through the Finance and Resources Committee on the operation of the systems of control and on the discharge of the Board of Trustees' financial responsibilities.

The Internal Auditor has delivered their schedule of work as planned and there were no material control issues arising as a result of the Internal Auditor's work.

GOVERNANCE STATEMENT (CONTINUED)

Review of effectiveness

As Accounting Officer, the CEO has responsibility for reviewing the effectiveness of the system of internal control. During the year in question the review has been informed by:

- the work of the Internal Auditor;
- the work of the External Auditors;
- the work of the executive managers within the Trust who have responsibility for the development and maintenance of the internal control framework.

The Accounting Officer has been advised of the implications of the result of their review of the system of internal control by the Finance and Resources committee and a plan to address weaknesses and ensure continuous improvement of the system is in place.

Approved by order of the members of the Board of Trustees on 20.12.19 and signed on their behalf by:

Brent Thomas
Chair of Trustees

Jane Fletcher
Accounting Officer

ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

STATEMENT ON REGULARITY, PROPRIETY AND COMPLIANCE

As Accounting Officer of Aldridge Education I have considered my responsibility to notify the Board of Trustees and the Education & Skills Funding Agency (ESFA) of material irregularity, impropriety and non-compliance with terms and conditions of all funding received by the Trust, under the funding agreement in place between the Trust and the Secretary of State for Education. As part of my consideration I have had due regard to the requirements of the Academies Financial Handbook 2018.

I confirm that I and the Trust Board are able to identify any material irregular or improper use of all funds by the Trust, or material non-compliance with the terms and conditions of funding under the Trust's funding agreement and the Academies Financial Handbook 2018.

I confirm that no instances of material irregularity, impropriety or funding non-compliance have been discovered to date. If any instances are identified after the date of this statement, these will be notified to the Board of Trustees and ESFA.

J Fletcher

Jane Fletcher
Accounting Officer
Date: 20.12.2019

ALDRIDGE EDUCATION

(A Company Limited by Guarantee)

STATEMENT OF TRUSTEES' RESPONSIBILITIES FOR THE YEAR ENDED 31 AUGUST 2019

The Trustees (who are also the directors of the Charitable Company for the purposes of company law) are responsible for preparing the Trustees' Report and the financial statements in accordance with the Academies Accounts Direction published by the Education & Skills Funding Agency, United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) and applicable law and regulations.

Company law requires the Trustees to prepare financial statements for each financial year. Under company law the Trustees must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the charitable company and of its incoming resources and application of resources, including its income and expenditure, for that period. In preparing these financial statements, the Trustees are required to:

- select suitable accounting policies and then apply them consistently;
- observe the methods and principles of the Charities SORP 2015 and the Academies Accounts Direction 2018 to 2019;
- make judgments and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Charitable Company will continue in business.

The Trustees are responsible for keeping adequate accounting records that are sufficient to show and explain the Charitable Company's transactions and disclose with reasonable accuracy at any time the financial position of the Charitable Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Charitable Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Trustees are responsible for ensuring that in its conduct and operation the Charitable Company applies financial and other controls, which conform with the requirements both of propriety and of good financial management. They are also responsible for ensuring grants received from ESFA/DfE have been applied for the purposes intended.

The Trustees are responsible for the maintenance and integrity of the corporate and financial information included on the Charitable Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Approved by order of the members of the Board of Trustees on 20.12.19 and signed on its behalf by:

Brent Thomas
Chair of Trustees

INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS TO THE MEMBERS OF ALDRIDGE EDUCATION

Opinion

We have audited the financial statements of Aldridge Education (the 'Trust') for the year ended 31 August 2019 which comprise the Statement of Financial Activities, the Balance Sheet, the Statement of Cash Flows and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law, United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland', the Charities SORP 2015 and the Academies Accounts Direction 2018 to 2019 issued by the Education & Skills Funding Agency.

In our opinion the financial statements:

- give a true and fair view of the state of the Trust's affairs as at 31 August 2019 and of its incoming resources and application of resources, including its income and expenditure for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006, the Charities SORP 2015 and the Academies Accounts Direction 2018 to 2019 issued by the Education & Skills Funding Agency.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We are independent of the Trust in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the Trustees' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the Trustees have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the Trust's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS TO THE MEMBERS OF ALDRIDGE EDUCATION (CONTINUED)

Other information

The Trustees are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our Auditors' Report thereon. Other information includes the Trustees' Report including the Strategic Report, the Governance Statement and the Accounting Officer's Statement. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Trustees' Report including the Strategic Report for the financial year for which the financial statements are prepared is consistent with the financial statements.
- the Trustees' Report and the Strategic Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of our knowledge and understanding of the Trust and its environment obtained in the course of the audit, we have not identified material misstatements in the Trustees' Report including the Strategic Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Trustees' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS TO THE MEMBERS OF ALDRIDGE EDUCATION (CONTINUED)

Responsibilities of trustees

As explained more fully in the Trustees' Responsibilities Statement, the Trustees (who are also the directors of the Trust for the purposes of company law) are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Trustees determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Trustees are responsible for assessing the Trust's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Trustees either intend to liquidate the Trust or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditors' Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditors' Report.

Use of our report

This report is made solely to the Trust's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the charitable Trust's members those matters we are required to state to them in an Auditors' Report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the charitable Trust and its members, as a body, for our audit work, for this report, or for the opinions we have formed.

Gary Miller FCA (Senior Statutory Auditor)
for and on behalf of
Price Bailey LLP

Chartered Accountants
Chartered Accountants
Statutory Auditors
Causeway House
1 Dane Street
Bishop's Stortford
Hertfordshire
CM23 3BT

20 December 2019

INDEPENDENT REPORTING ACCOUNTANT'S ASSURANCE REPORT ON REGULARITY TO ALDRIDGE EDUCATION AND THE EDUCATION & SKILLS FUNDING AGENCY

In accordance with the terms of our engagement letter dated 23 October 2018 and further to the requirements of the Education & Skills Funding Agency (ESFA) as included in the Academies Accounts Direction 2018 to 2019, we have carried out an engagement to obtain limited assurance about whether the expenditure disbursed and income received by Aldridge Education during the year 1 September 2018 to 31 August 2019 have been applied to the purposes identified by Parliament and the financial transactions conform to the authorities which govern them.

This report is made solely to Aldridge Education and the ESFA in accordance with the terms of our engagement letter. Our work has been undertaken so that we might state to Aldridge Education and ESFA those matters we are required to state in a report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than Aldridge Education and ESFA, for our work, for this report, or for the conclusion we have formed.

Respective responsibilities of Aldridge Education's accounting officer and the reporting accountant

The accounting officer is responsible, under the requirements of Aldridge Education's funding agreement with the Secretary of State for Education dated 1 September 2017 and the Academies Financial Handbook, extant from 1 September 2018, for ensuring that expenditure disbursed and income received is applied for the purposes intended by Parliament and the financial transactions conform to the authorities which govern them.

Our responsibilities for this engagement are established in the United Kingdom by our profession's ethical guidance and are to obtain limited assurance and report in accordance with our engagement letter and the requirements of the Academies Accounts Direction 2018 to 2019. We report to you whether anything has come to our attention in carrying out our work which suggests that in all material respects, expenditure disbursed and income received during the year 1 September 2018 to 31 August 2019 have not been applied to purposes intended by Parliament or that the financial transactions do not conform to the authorities which govern them.

Approach

We conducted our engagement in accordance with the Academies Accounts Direction 2018 to 2019 issued by ESFA. We performed a limited assurance engagement as defined in our engagement letter.

The objective of a limited assurance engagement is to perform such procedures as to obtain information and explanations in order to provide us with sufficient appropriate evidence to express a negative conclusion on regularity.

A limited assurance engagement is more limited in scope than a reasonable assurance engagement and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in a reasonable assurance engagement. Accordingly, we do not express a positive opinion.

Our engagement includes examination, on a test basis, of evidence relevant to the regularity and propriety of the Trust's income and expenditure.

The work undertaken to draw to our conclusion includes:

- An assessment of the risk of material irregularity, impropriety and non-compliance
- Consideration and corroboration of the evidence supporting the Accounting Officer's statement on regularity, propriety and compliance and how the Trust complies with the framework of authorities.
- Evaluation of the general control environment of the Trust, extending the procedures required for financial statements to include regularity, propriety and compliance
- Discussions with and representations from the Accounting Officer and other key management personnel.
- An extension of substantive testing from our audit of the financial statements to cover matters pertaining to regularity, in order to support the regularity conclusion, including governance, internal controls, procurement and the application of income.

INDEPENDENT REPORTING ACCOUNTANT'S ASSURANCE REPORT ON REGULARITY TO ALDRIDGE EDUCATION AND THE EDUCATION & SKILLS FUNDING AGENCY (CONTINUED)

Conclusion

In the course of our work, nothing has come to our attention which suggest in all material respects the expenditure disbursed and income received during the year 1 September 2018 to 31 August 2019 has not been applied to purposes intended by Parliament and the financial transactions do not conform to the authorities which govern them.

Reporting Accountant

Price Bailey LLP

Chartered Accountants

Date: 20 December 2019

ALDRIDGE EDUCATION

(A Company Limited by Guarantee)

STATEMENT OF FINANCIAL ACTIVITIES (INCORPORATING INCOME AND EXPENDITURE ACCOUNT) FOR THE YEAR ENDED 31 AUGUST 2019

	Note	Unrestricted funds 2019 £000	Restricted funds 2019 £000	Restricted fixed asset funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
Income from:						
Donations and capital grants	4	147	(279)	12,557	12,424	23,267
Charitable activities	5	609	38,815	-	39,425	34,416
Other trading activities	6	1,717	-	-	1,717	1,281
Investments	7	2	-	-	2	1
Other income	8	-	18	-	18	1
Total income		2,475	38,554	12,557	53,586	58,966
Expenditure on:						
Charitable activities	9	913	39,951	4,600	45,464	41,322
Total expenditure		913	39,951	4,600	45,464	41,322
Net income/ (expenditure)		1,562	(1,397)	7,957	8,122	17,644
Transfers between funds	20	-	(224)	224	-	-
Net movement in funds before other recognised gains/(losses)		1,562	(1,621)	8,181	8,122	17,644
Other recognised gains/(losses):						
Actuarial losses on defined benefit pension schemes	25	-	(5,037)	-	(5,037)	2,953
Net movement in funds		1,562	(6,658)	8,181	3,085	20,597
Reconciliation of funds:						
Total funds brought forward		(1,393)	(8,313)	114,876	105,170	84,573
Net movement in funds		1,562	(6,658)	8,181	3,085	20,597
Total funds carried forward		169	(14,971)	123,057	108,255	105,170

The Statement of Financial Activities includes all gains and losses recognised in the year.

The notes on pages 31 to 60 form part of these financial statements.

ALDRIDGE EDUCATION
(A Company Limited by Guarantee)
REGISTERED NUMBER: 05670663

BALANCE SHEET
AS AT 31 AUGUST 2019

	Note		2019 £000		2018 £000
Fixed assets					
Tangible assets	16		122,468		114,444
			122,468		114,444
Current assets					
Stocks		-		2	
Debtors	17	1,965		1,340	
Cash at bank and in hand		2,793		788	
		4,758		2,130	
Creditors: amounts falling due within one year	18	(2,808)		(2,066)	
Net current assets			1,950		64
Total assets less current liabilities			124,418		114,508
Creditors: amounts falling due after more than one year	19		(1,193)		(1,025)
Net assets excluding pension liability			123,225		113,483
Defined benefit pension scheme liability	25		(14,971)		(8,313)
Total net assets			108,254		105,170
Funds of the Trust					
Restricted funds:					
Fixed asset funds	20	123,057		114,876	
Restricted funds excluding pension liability	20	123,057		114,876	
Pension reserve	20	(14,971)		(8,313)	
Total restricted funds	20		108,086		106,563
Unrestricted income funds	20		168		(1,393)
Total funds			108,254		105,170

ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

BALANCE SHEET (CONTINUED)
AS AT 31 AUGUST 2019

The financial statements on pages 27 to 60 were approved by the Trustees, and authorised for issue on 20.12.2019 and are signed on their behalf, by:

Brent Thomas
Chair of Trustees

The notes on pages 31 to 60 form part of these financial statements.

ALDRIDGE EDUCATION
(A Company Limited by Guarantee)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 AUGUST 2019

	Note	2019 £000	2018 £000
Cash flows from operating activities			
Net cash provided by/(used in) operating activities	22	2,159	(791)
Cash flows from investing activities	23	(154)	(788)
Change in cash and cash equivalents in the year		2,005	(1,579)
Cash and cash equivalents at the beginning of the year		788	2,367
Cash and cash equivalents at the end of the year	24	2,793	788

The notes on pages 31 to 60 form part of these financial statements

1. General information

The Trust is a company limited by guarantee. Members are noted on page 1. In the event of the trust being wound up, the liability in respect of the guarantee is limited to £10 per member. The functional and presentational currency is Pounds Sterling. Its registered office is 8 City Road, London, EC1Y 2AA.

2. Accounting policies

A summary of the principal accounting policies adopted (which have been applied consistently, except where noted), judgments and key sources of estimation uncertainty, is set out below.

2.1 Basis of preparation of financial statements

The financial statements of the Trust, which is a public benefit entity under FRS 102, have been prepared under the historic cost convention in accordance with the Financial Reporting Standard Applicable in the UK and Republic of Ireland (FRS 102), the Accounting and Reporting by Charities: Statement of Recommended Practice applicable to charities preparing their accounts in accordance with the Financial Reporting Standard applicable in the UK and Republic of Ireland (FRS 102) (Charities SORP (FRS 102)), the Academies Accounts Direction 2018 to 2019 issued by ESFA, the Charities Act 2011 and the Companies Act 2006.

Aldridge Education meets the definition of a public benefit entity under FRS 102.

2.2 Going concern

The Trustees assess whether the use of going concern is appropriate i.e. whether there are any material uncertainties related to events or conditions that may cast significant doubt on the ability of the Trust to continue as a going concern. The Trustees make this assessment in respect of a period of at least one year from the date of authorisation for issue of the financial statements and have concluded that the Trust has adequate resources to continue in operational existence for the foreseeable future and there are no material uncertainties about the Trust's ability to continue as a going concern, thus they continue to adopt the going concern basis of accounting in preparing the financial statements.

2. Accounting policies (continued)

2.3 Income

All incoming resources are recognised when the Trust has entitlement to the funds, the receipt is probable and the amount can be measured reliably.

- **Grants**

  Grants are included in the Statement of Financial Activities on a receivable basis. The balance of income received for specific purposes but not expended during the period is shown in the relevant funds on the Balance Sheet. Where income is received in advance of meeting any performance-related conditions there is not unconditional entitlement to the income and its recognition is deferred and included in creditors as deferred income until the performance-related conditions are met. Where entitlement occurs before income is received, the income is accrued.

  General Annual Grant is recognised in full in the Statement of Financial Activities in the year for which it is receivable and any abatement in respect of the year is deducted from income and recognised as a liability.

  Capital grants are recognised in full when there is an unconditional entitlement to the grant. Unspent amounts of capital grants are reflected in the Balance Sheet in the restricted fixed asset fund. Capital grants are recognised when there is entitlement and are not deferred over the life of the asset on which they are expended.

- **Donations**

  Donations are recognised on a receivable basis (where there are no performance-related conditions) where the receipt is probable and the amount can be reliably measured.

- **Other income**

  Other income, including the hire of facilities, is recognised in the year it is receivable and to the extent the Trust has provided the goods or services.

- **Transfer of existing academies into the Trust**

  Where assets and liabilities are received on the transfer of an existing Academy into the Trust, the transferred assets are measured at fair value and recognised in the Balance Sheet at the point when the risks and rewards of ownership pass to the Trust. An equal amount of income is recognised for the transfer of an existing Academy into the Trust within 'Income from Donations and Capital Grants' to the net assets acquired.

2.4 Expenditure

Expenditure is recognised once there is a legal or constructive obligation to transfer economic benefit to a third party, it is probable that a transfer of economic benefits will be required in settlement and the amount of the obligation can be measured reliably. Expenditure is classified by activity. The costs of each activity are made up of the total of direct costs and shared costs, including support costs involved in undertaking each activity. Direct costs attributable to a single activity are allocated directly to that activity. Shared costs which contribute to more than one activity and support costs which are not attributable to a single activity are apportioned between those activities on a basis consistent with the use of resources. Central staff costs are allocated on the basis of time spent, and depreciation charges allocated on the portion of the asset's use.

- **Charitable activities**

  These are costs incurred on the Trust's educational operations, including support costs and costs relating to the governance of the Trust apportioned to charitable activities.

  All resources expended are inclusive of irrecoverable VAT.

2. Accounting policies (continued)

2.5 Interest receivable

Interest on funds held on deposit is included when receivable and the amount can be measured reliably by the Trust; this is normally upon notification of the interest paid or payable by the institution with whom the funds are deposited.

2.6 Taxation

The Trust is considered to pass the tests set out in Paragraph 1 Schedule 6 of the Finance Act 2010 and therefore it meets the definition of a charitable company for UK corporation tax purposes.

Accordingly, the Trust is potentially exempt from taxation in respect of income or capital gains received within categories covered by Part 11, chapter 3 of the Corporation Tax Act 2010 or Section 256 of the Taxation of Chargeable Gains Act 1992, to the extent that such income or gains are applied exclusively to charitable purposes.

2.7 Tangible fixed assets

Assets costing £1,000 or more are capitalised as tangible fixed assets and are carried at cost, net of depreciation and any provision for impairment.

Where tangible fixed assets have been acquired with the aid of specific grants, either from the Government or from the private sector, they are included in the Balance Sheet at cost and depreciated over their expected useful economic life. Where there are specific conditions attached to the funding requiring the continued use of the asset, the related grants are credited to a restricted fixed asset fund in the Statement of Financial Activities and carried forward in the Balance Sheet. Depreciation on the relevant assets is charged directly to the restricted fixed asset fund in the Statement of Financial Activities. Where tangible fixed assets have been acquired with unrestricted funds, depreciation on such assets is charged to the unrestricted fund.

Depreciation is provided on all tangible fixed assets other than assets under construction, at rates calculated to write off the cost of each asset on a straight-line basis over its expected useful life, as follows:

Depreciation is provided on the following basis:

Long-term leasehold property	-	2%
Furniture and equipment	-	20%
Computer equipment	-	33%
Motor vehicles	-	20%

A review for impairment of a fixed asset is carried out if events or changes in circumstances indicate that the carrying value of any fixed asset may not be recoverable. Shortfalls between the carrying value of fixed assets and their recoverable amounts are recognised as impairments. Impairment losses are recognised in the Statement of Financial Activities.

2.8 Stocks

Stocks are valued at the lower of cost and net realisable value after making due allowance for obsolete and slow-moving stocks. Cost includes all direct costs and an appropriate proportion of fixed and variable overheads.

2. Accounting policies (continued)

2.9 Debtors

Trade and other debtors are recognised at the settlement amount after any trade discount offered. Prepayments are valued at the amount prepaid net of any trade discounts due.

2.10 Cash at bank and in hand

Cash at bank and in hand includes cash and short-term highly liquid investments with a short maturity of three months or less from the date of acquisition or opening of the deposit or similar account.

2.11 Liabilities

Liabilities are recognised when there is an obligation at the balance sheet date as a result of a past event, it is probable that a transfer of economic benefit will be required in settlement, and the amount of the settlement can be estimated reliably. Liabilities are recognised at the amount that the Trust anticipates it will pay to settle the debt or the amount it has received as advanced payments for the goods or services it must provide.

2.12 Financial instruments

The Trust only holds basic financial instruments as defined in FRS 102. The financial assets and financial liabilities of the Trust and their measurement bases are as follows:

Financial assets - trade and other debtors are basic financial instruments and are debt instruments measured at amortised cost as detailed in note 17. Prepayments are not financial instruments. Cash at bank is classified as a basic financial instrument and is measured at face value.

Financial liabilities - trade creditors, accruals and other creditors are financial instruments, and are measured at amortised cost as detailed in notes 18 and 19. Taxation and social security are not included in the financial instruments disclosure definition. Deferred income is not deemed to be a financial liability, as the cash settlement has already taken place and there is an obligation to deliver services rather than cash or another financial instrument.

2.13 Operating leases

Rentals paid under operating leases are charged to the Statement of Financial Activities on a straight line basis over the lease term.

2. Accounting policies (continued)

2.14 Pensions

Retirement benefits to employees of the Trust are provided by the Teachers' Pension Scheme ("TPS") and the Local Government Pension Scheme ("LGPS"). These are defined benefit schemes.

The TPS is an unfunded scheme and contributions are calculated so as to spread the cost of pensions over employees' working lives with the Trust in such a way that the pension cost is a substantially level percentage of current and future pensionable payroll. The contributions are determined by the Government Actuary on the basis of quadrennial valuations using a prospective unit credit method. TPS is an unfunded multi-employer scheme with no underlying assets to assign between employers. Consequently, the TPS is treated as a defined contribution scheme for accounting purposes and the contributions recognised in the period to which they relate.

The LGPS is a funded multi-employer scheme and the assets are held separately from those of the Trust in separate trustee administered funds. Pension scheme assets are measured at fair value and liabilities are measured on an actuarial basis using the projected unit credit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent term and currency to the liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The amounts charged to operating surplus are the current service costs and the costs of scheme introductions, benefit changes, settlements and curtailments. They are included as part of staff costs as incurred. Net interest on the net defined benefit liability/asset is also recognised in the Statement of Financial Activities and comprises the interest cost on the defined benefit obligation and interest income on the scheme assets, calculated by multiplying the fair value of the scheme assets at the beginning of the period by the rate used to discount the benefit obligations. The difference between the interest income on the scheme assets and the actual return on the scheme assets is recognised in other recognised gains and losses.

Actuarial gains and losses are recognised immediately in other recognised gains and losses.

2.15 Fund accounting

Unrestricted income funds represent those resources which may be used towards meeting any of the charitable objects of the Trust at the discretion of the Trustees.

Restricted fixed asset funds are resources which are to be applied to specific capital purposes imposed by the funders where the asset acquired or created is held for a specific purpose.

Restricted general funds comprise all other restricted funds received with restrictions imposed by the funder/donor and include grants from the Department for Education Group.

Investment income, gains and losses are allocated to the appropriate fund.

3. Critical accounting estimates and areas of judgment

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions:

The Trustees make estimates and assumptions concerning the future. The resulting accounting estimates and assumptions will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

The present value of the Local Government Pension Scheme defined benefit liability depends on a number of factors that are determined on an actuarial basis using a variety of assumptions. The assumptions used in determining the net cost or income for pensions include the discount rate. Any changes in these assumptions, which are disclosed in note 25, will impact the carrying amount of the pension liability. Furthermore a roll forward approach which projects results from the latest full actuarial valuation performed at 31 March 2016 has been used by the Actuary in valuing the pensions liability at 31 August 2019. Any differences between the figures derived from the roll forward approach and a full actuarial valuation would impact on the carrying amount of the pension liability.

4. Income from donations and capital grants

	Unrestricted funds 2019 £000	Restricted funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
Assets on conversion to Academy	-	-	-	22,168
Amounts received on transfer	147	11,402	11,549	-
Other donations	-	50	50	3
Capital grants	-	825	825	1,096
	147	12,277	12,424	23,267
Total 2018	3	23,264	23,267	

In 2018, income transferred on conversion was £22,168,000 of which £(508,000) was unrestricted, £(3,324,000) restricted and £26,000,000 restricted fixed assets.

In 2018, income from donations was £3,000 of which all was unrestricted.

In 2019, amounts received on transfer of £11,732,000 (2018 - £NIL) were in relation to restricted fixed asset funds.

In 2019, other donations of £NIL (2018 - £NIL) were in relation to restricted fixed asset funds.

In 2019, capital grants of £825,000 (2018 - £1,096,000) were in relation to restricted fixed asset funds.

5. Funding for the Trust's educational operations

	Unrestricted funds 2019 £000	Restricted funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
DfE/ESFA grants				
General Annual Grant (GAG)	-	34,184	34,184	30,192
Pupil Premium grant	-	1,837	1,837	1,602
Devolved Formula Capital grant	-	341	341	99
Rates grant	-	273	273	392
Other DfE/ESFA grants	-	1,170	1,170	470
	-	37,805	37,805	32,755
Other Government grants				
Start up grant	-	26	26	-
Local Authority grants	-	764	764	593
Other grants	-	-	-	17
	-	790	790	610
Other income from the Trust's educational operations				
Catering income	609	-	609	468
Income from trips	-	220	220	171
Other income	-	-	-	412
	609	220	829	1,051
	609	38,815	39,424	34,416
Total 2018	-	34,416	34,416	

In 2018, income from DFE/ESFA grants was £32,755,000 of which all was restricted.

In 2018, income from other Government grants was £610,000 of which all was restricted.

In 2018, income from other income from the Trust's educational operations was £1,051,000 of which all was restricted.

6. Income from other trading activities

	Unrestricted funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
Miscellaneous income	843	843	409
Hire of facilities	628	628	872
Adult education fees	246	246	-
	1,717	1,717	1,281

In 2018, miscellaneous income was £409,000 of which all was unrestricted.

In 2018, hire of facilities was £872,000 of which all was unrestricted.

7. Investment income

	Unrestricted funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
Interest receivable	2	2	1

In 2018, all investment income was in relation to unrestricted funds.

8. Other incoming resources

	Restricted funds 2019 £000	Total funds 2019 £000	Total funds 2018 £000
Miscellaneous income	18	18	1

In 2018, all miscellaneous income was in relation to restricted funds.

9. Expenditure

	Staff Costs 2019 £000	Premises 2019 £000	Other 2019 £000	Total 2019 £000	Total 2018 £000
Direct costs	24,720	-	2,613	27,333	27,324
Allocated support costs	7,363	3,374	7,394	18,131	13,998
	32,083	3,374	10,007	45,464	41,322
Total 2018	30,008	3,455	7,859	41,322	

For 2019, total expenditure to unrestricted funds was £553,000 (2018 - £1,297,000), total expenditure to restricted funds was £39,982,000 (2018 - £35,932,000) and total expenditure to restricted fixed assets fund was £4,929,000 (2018 - £4,093,000).

In 2018, direct expenditure consisted of £24,917,000 staff costs. £520,000 premises costs and £1,887,000 other costs.

In 2018, support expenditure consisted of £5,091,000 staff costs, £2,935,000 premises costs and £5,972,000 other costs.

10. Charitable Activities

	2019 £000	2018 £000
Direct costs	27,333	27,324
Support costs	18,131	13,998
	45,464	41,322

	2019 £000	2018 £000
Analysis of support costs		
Support staff costs	7,363	5,091
Depreciation	4,232	3,704
Technology costs	186	90
Premises costs	3,374	2,935
Other support costs	2,993	2,138
Governance costs	43	40
	18,191	13,998

11. Net income/(expenditure)

Net income/(expenditure) for the year includes:

	2019 £000	2018 £000
Operating lease rentals	102	60
Depreciation of tangible fixed assets	4,232	3,704
Fees paid to Auditors for:		
- audit	23	23
- other services	6	5

12. Staff costs

a. Staff costs

Staff costs during the year were as follows:

	2019 £000	2018 £000
Wages and salaries	23,092	21,616
Social security costs	2,315	2,254
Pension costs	4,817	4,590
	30,224	28,460
Agency staff costs	1,628	1,585
Staff restructuring costs	231	(37)
	32,083	30,008

Staff restructuring costs comprise:

	2019 £000	2018 £000
Redundancy payments	176	(37)
Severance payments	55	-
	231	(37)

b. Non-statutory/non-contractual staff severance payments

Included in staff restructuring costs are non-statutory/non-contractual severance payments totalling £55,000 (2018: £NIL). Individually, the payments were: £4,000, £1,000, £4,000, £5,000, £15,000, £2,000, £4,000, £2,000, £7,000, £1,000, £9,000 and £1,000.

12. Staff costs (continued)

c. Staff numbers

The average number of persons employed by the Trust during the year was as follows:

	2019 No.	2018 No.
Teachers	403	376
Administration and support	380	358
Management	6	5
	789	739

d. Higher paid staff

The number of employees whose employee benefits (excluding employer pension costs) exceeded £60,000 was:

	2019 No.	2018 No.
In the band £60,001 - £70,000	18	17
In the band £70,001 - £80,000	4	4
In the band £80,001 - £90,000	3	1
In the band £90,001 - £100,000	-	4
In the band £110,001 - £120,000	1	1
In the band £120,001 - £130,000	-	1
In the band £130,001 - £140,000	1	1
In the band £170,001 - £180,000	-	1

e. Key management personnel

The key Management Personnel of the Trust for the peiord comprised of Trustees and the Executive Leadership Team as listed on page 1. The total amount of employee benefits (including employee pension contributions and National Insurance) received by key management personnel for their services to the Trust during the year ended 31 August 2019 was £518,511 (2018 - £749,575).

13. Central services

During the year the Trust charged its Academies a percentage of their total school budget share income to cover central costs. The charges covered the provision of the following services:

- Corporate Trust-wide leadership
- Educational support and leadership
- Governance and policy support
- HR and finance support
- Marketing and PR support
- Capital and estates support

The Trust charges for these services on the following basis:

5.0% of General Annual Grant funding from September 2018 to August 2019 (2018: from September 2017 to August 2018: 5.0%).

The actual amounts charged during the year were as follows:

	2019 £000	2018 £000
Brighton Aldridge Community Academy	273	224
Darwen Aldridge Community Academy	413	397
Darwen Aldridge Enterprise Studio	54	52
Duke's Aldridge Academy	377	376
Darwen Vale High School	222	221
Portslade Aldridge Community Academy	206	175
Sudell Primary School	40	42
AldridgeUTC@Media City	111	-
Total	1,696	1,487

14. Trustees' remuneration and expenses

During the year, no Trustees received any remuneration or other benefits (2018 - £NIL). The Chief Executive Officer was not a Trustee during the years ended 31 August 2019 or 2018.

During the year ended 31 August 2019, expenses totalling £2,671 were reimbursed or paid directly to 5 Trustees (2018 - £2,175 to 4 Trustees).

15. Trustees' and Officers' insurance

The Trust has opted into the Department of Education's risk protection arrangement (RPA), an alternative to insurance where UK Government funds cover losses that arise. This scheme protects Trustees, Governors and Officers from claims arising from negligent acts, errors or omissions occurring whilst on Trust business, and provides cover up to £10,000,000. It is not possible to quantify the Trustees, Governors and Officers indemnity element from the overall cost of the RPA scheme membership.

16. Tangible fixed assets

	Long-term leasehold property £000	Furniture and equipment £000	Computer equipment £000	Motor vehicles £000	Total £000
Cost or valuation					
At 1 September 2018	121,962	7,467	2,822	34	132,285
Additions	217	118	164	26	525
Donated on transfer	11,334	57	340	-	11,731
At 31 August 2019	133,513	7,642	3,326	60	144,541
Depreciation					
At 1 September 2018	9,480	5,782	2,545	34	17,841
Charge for the year	2,674	1,070	483	5	4,232
At 31 August 2019	12,154	6,852	3,028	39	22,073
Net book value					
At 31 August 2019	121,359	790	298	21	122,468
At 31 August 2018	112,482	1,685	277	-	114,444

The Trust acquired long-term leasehold property valued at £11,334,000 when AldridgeUTC@MediaCity joined the Trust on 1 September 2018.

17. Debtors

	2019 £000	2018 £000
Trade debtors	331	400
Other debtors	242	214
Prepayments and accrued income	1,392	726
	1,965	1,340

Included within other debtors is £223,000 of VAT recoverable (2018 - £192,000).

18. Creditors: Amounts falling due within one year

	2019 £000	2018 £000
Trade creditors	954	793
Other taxation and social security	576	438
Other creditors	458	199
Accruals and deferred income	820	636
	2,808	2,066

	2019 £000	2018 £000
Deferred income at 1 September 2018	214	641
Resources deferred during the year	340	214
Amounts released from previous periods	(214)	(641)
	340	214

Deferred income relates to school trip income for trips due to take place after 31 August 2019 and rates relief for the 2019/20 academic year.

19. Creditors: Amounts falling due after more than one year

	2019 £000	2018 £000
Amounts due to ESFA	1,193	1,025

The Trust has outstanding cash loans to the ESFA of £1,193,000 in relation to:

- Darwen Vale High School (£143,000) due to facilities management loan and GAG advance in 2015/16
- Portslade Aldridge Community Academy (£315,000) due to needs of working capital requirements. In place on conversion as at 1 May 2017.
- Dukes (£247,000) due to a deficit balance on transfer to the trust in 2017/18
- AldridgeUTC@MediaCityUK (£457,000) due to pupil number adjustments in 2016/17

In 2019/20 AldridgeUTC@MediaCityUk repaid a further £200,000 as well as Portslade repaying the remainder of their loan. The remaining cash loans is subject to agreeing a repayment plan with the ESFA.

20. Statement of funds

	Balance at 1 September 2018 £000	Income £000	Expenditure £000	Transfers in/out £000	Gains/ (Losses) £000	Balance at 31 August 2019 £000
Unrestricted funds						
General Funds	(1,393)	2,474	(913)	-	-	168
Restricted general funds						
General Annual Grant (GAG)	-	34,184	(33,960)	(224)	-	-
Pupil Premium	-	1,837	(1,837)	-	-	-
Devolved Formula Capital	-	341	(341)	-	-	-
Rates relief	-	273	(273)	-	-	-
Other DFE/ESFA grants	-	1,170	(1,170)	-	-	-
Other Government grants	-	790	(790)	-	-	-
Other restricted funds	-	27	(27)	-	-	-
Pension reserve	(8,313)	(68)	(1,553)	-	(5,037)	(14,971)
	(8,313)	38,554	(39,951)	(224)	(5,037)	(14,971)
Restricted fixed asset funds						
Restricted fixed assets	114,444	11,732	(4,232)	524	-	122,468
School Condition Allocation	432	700	(243)	(300)	-	589
Other capital funding	-	125	(125)	-	-	-
	114,876	12,557	(4,600)	224	-	123,057
Total Restricted funds	106,563	51,111	(44,551)	-	(5,037)	108,086
Total funds	105,170	53,585	(45,464)	-	(5,037)	108,254

20. Statement of funds (continued)

The specific purposes for which the funds are to be applied are as follows:

General Annual Grant (GAG)

This represents funding from the ESFA to cover the costs of recurrent expenditure.

Under the funding agreement with the Secretary of State, the Trust was not subject to a limit on the amount of GAG that it could carry forward at 31 August 2019.

The Transfer represents purchases of assets from GAG which has been capitalised.

Pupil Premium

This represents funding to be used to help raise achievement and improve outcomes for pupils from low income families who are eligible for free school meals.

Other DFE/ESFA

Other DFE/ESFA grants represent funding from Government agencies to be used for specific purposes.

Devolved Formula Capital (DFC)

The Trust is to use the DFC allocation to maintain and improve its buildings and facilities.

Rates Relief Grant

This represents funding received from DfE to supplement spending on council rates incurred by the Trust.

Other Government grants

This represents various grants from local and national Government bodies for the provision of specific services to pupils of the Academies.

Other restricted funds

This represents contributions running of educational visits and provision of school meals for the pupils of the Academies and the associated costs.

Pension Reserve

This fund represents the Trust's share of the deficit on the Local Government Pension Scheme (LGPS) transferred to the Trust on conversion from state maintained schools.

Restricted fixed assets

This represents the net book value of tangible fixed assets held by the Trust since establishment. Items are added to the fund by way of purchase through other fund income or transferred from an exisiting academy or a new academy converter.

School Condition Allocation

These grants relate to capital funding received by the Trust to carry out works required across the Trust at discretion of the Trust Board.

20. Statement of funds (continued)

Other capital funding

This represents funding received from the Local Authority towards school expansion works to take on more pupils in the area.

Total funds analysis by academy

Fund balances at 31 August 2019 were allocated as follows:

	2019 £000	2018 £000
Adult Education (Portslade CIC)	110	-
Central Services	258	(7)
Brighton Aldridge Community Academy	1,046	785
Darwen Aldridge Community Aldridge	1,249	704
Darwen Aldridge Enterpirse Studio	(893)	(914)
Duke's Aldridge Academy	(759)	(957)
Darwen Vale High School	174	46
Portslade Aldridge Community Academy	(330)	(921)
Sudell Primary School	(201)	(129)
AldridgeUTC@Media City	(486)	-
Total before fixed asset funds and pension reserve	168	(1,393)
Restricted fixed asset fund	123,057	114,876
Pension reserve	(14,971)	(8,313)
Total	108,254	105,170

20. Statement of funds (continued)

A number of Aldridge Schools are currently holding a cumulative deficit. Duke's Aldridge Academy, Portslade Aldridge Academy and Darwen Aldridge Enterprise Studio School have during the course of the year made significant progress in reducing their overall deficits. Sudell Primary School and AldridgeUTC@MediaCityUk, is supported by the Trust as Schools with low student numbers and therefore with less ability to immediately reduce their overall deficit.

Total cost analysis by academy

Expenditure incurred by each Academy during the year was as follows:

	Teaching and educational support staff costs £000	Other support staff costs £000	Educational supplies £000	Other costs excluding depreciation £000	Total 2019 £000	Total 2018 £000
Adult Education (Portslade)	223	177	100	180	680	-
Central Services	764	488	84	584	1,920	2,000
Brighton Aldridge Community Academy	4,238	554	319	1,064	6,175	5,839
Darwen Aldridge Community Academy	5,423	1,877	461	1,224	8,985	10,437
Darwen Aldridge Enterprise Studio	986	94	87	170	1,337	-
Duke's Aldridge Academy	5,259	2,237	209	1,431	9,136	9,457
Darwen Vale High School	3,130	830	166	880	5,006	4,886
Portslade Aldridge Community Academy	2,584	550	178	803	4,115	3,861
Sudell Primary School	699	143	29	223	1,094	1,138
AldridgeUTC@Media City	1,621	435	231	497	2,784	-
Trust	24,927	7,385	1,864	7,056	41,232	37,618

Expenditure reported in 2018 was combined for Darwen Aldridge Community Academy with Darwen Aldridge Enterprise Stuido.

20. Statement of funds (continued)

Comparative information in respect of the preceding year is as follows:

	Balance at 1 September 2017 £000	Income £000	Expenditure £000	Transfers in/out £000	Gains/ (Losses) £000	Balance at 31 August 2018 £000
Unrestricted funds						
General Funds	(752)	777	(1,297)	(121)	-	(1,393)
Restricted general funds						
GAG	-	30,192	(30,313)	121	-	-
Pupil Premium	-	1,602	(1,602)	-	-	-
DFC	-	99	(99)	-	-	-
Rates relief	-	392	(392)	-	-	-
Other DFE/ESFA grants	-	470	(470)	-	-	-
Other Government grants	-	610	(610)	-	-	-
Other restricted funds	-	1,052	(1,052)	-	-	-
Pension reserve	(6,548)	(3,324)	(1,394)	-	2,953	(8,313)
	(6,548)	31,093	(35,932)	121	2,953	(8,313)
Restricted fixed asset funds						
Restricted fixed assets	91,873	26,275	(3,704)	-	-	114,444
School Condition Allocation	-	821	(389)	-	-	432
	91,873	27,096	(4,093)	-	-	114,876
Total Restricted funds	85,325	58,189	(40,025)	121	2,953	106,563
Total funds	84,573	58,966	(41,322)	-	2,953	105,170

21. Analysis of net assets between funds

Analysis of net assets between funds - current year

	Unrestricted funds 2019 £000	Restricted funds 2019 £000	Restricted fixed asset funds 2019 £000	Total funds 2019 £000
Tangible fixed assets	-	-	122,468	122,468
Current assets	167	4,001	589	4,758
Creditors due within one year	-	(2,808)	-	(2,808)
Creditors due in more than one year	-	(1,193)	-	(1,193)
Provisions for liabilities and charges	-	(14,971)	-	(14,971)
Total	167	(14,971)	123,057	108,253

Analysis of net assets between funds - prior year

	Unrestricted funds 2018 £000	Restricted funds 2018 £000	Restricted fixed asset funds 2018 £000	Total funds 2018 £000
Tangible fixed assets	-	-	114,444	114,444
Current assets	402	1,296	432	2,130
Creditors due within one year	(770)	(1,296)	-	(2,066)
Creditors due in more than one year	(1,025)	-	-	(1,025)
Provisions for liabilities and charges	-	(8,313)	-	(8,313)
Total	(1,393)	(8,313)	114,876	105,170

22. Reconciliation of net income to net cash flow from operating activities

	2019 £000	2018 £000
Net income for the year (as per Statement of Financial Activities)	8,122	17,644
Adjustments for:		
Depreciation	4,232	3,704
Interest receivable	(2)	(1)
Defined benefit pension scheme obligation inherited	68	3,324
Defined benefit pension scheme cost less contributions payable	1,322	1,147
Defined benefit pension scheme finance cost	231	247
Decrease in stocks	2	-
Increase in debtors	(625)	(219)
Increase/(decrease) in creditors	910	(1,145)
Assets transferred from existing Academies	(11,732)	-
Assets inherited on conversion	-	(25,492)
Cash flows transferred from existing Academies	(369)	-
Net cash provided by/(used in) operating activities	2,159	(791)

23. Cash flows from investing activities

	2019 £000	2018 £000
Interest	2	1
Purchase of tangible fixed assets	(525)	(286)
Cash flows from academies transferring into the Trust	369	(503)
Net cash used in investing activities	(154)	(788)

24. Analysis of cash and cash equivalents

	2019 £000	2018 £000
Cash in hand	2,793	788

25. Pension commitments

The Trust's employees belong to two principal pension schemes: the Teachers' Pension Scheme for England and Wales (TPS) for academic and related staff; and the Local Government Pension Scheme (LGPS) for non-teaching staff, which is managed by Lancashire County Pension Fund, East Sussex Pension Fund, London Borough of Haringey Pension Fund and Greater Manchester Pension Fund. Both are multi-employer defined benefit schemes.

The latest actuarial valuation of the TPS related to the period ended 31 March 2012 and of the LGPS 31 March 2016.

Contributions amounting to £429,000 were payable to the schemes at 31 August 2019 (2018 - *£332,000*) and are included within creditors.

Teachers' Pension Scheme

The Teachers' Pension Scheme (TPS or scheme) is a statutory, unfunded, defined benefit occupational scheme, governed by the Teachers' Pensions Regulations 2010 (as amended), and the Teachers' Pension Scheme Regulations 2014 (as amended). These regulations apply to teachers in schools and other educational establishments, including academies, in England and Wales that are maintained by local authorities.

In addition, teachers in many independent and voluntary-aided schools and teachers and lecturers in some establishments of further and higher education may be eligible for membership. Membership is automatic for full-time teachers and lecturers and, from 1 January 2007, automatic too for teachers and lecturers in part-time employment following appointment or a change of contract. Teachers and lecturers are able to opt out of the TPS.

The Teachers' Pension Budgeting and Valuation Account

Although members may be employed by various bodies, their retirement and other pension benefits are set out in regulations made under the Superannuation Act (1972) and Public Service Pensions Act (2013) and are paid by public funds provided by Parliament. The TPS is an unfunded scheme and members contribute on a 'pay as you go 'basis – contributions from members, along with those made by employers, are credited to the Exchequer under arrangements governed by the above Acts.

The Teachers' Pensions Regulations 2010 require an annual account, the Teachers' Pension Budgeting and Valuation Account, to be kept of receipts and expenditure (including the cost of pension increases). From 1 April 2001, the Account has been credited with a real rate of return, which is equivalent to assuming that the balance in the Account is invested in notional investments that produce that real rate of return.

Valuation of the Teachers' Pension Scheme

The latest valuation of the Teachers' Pension Scheme has now taken place, in line with directions issued by HM Treasury and using membership data as at 31 March 2016. As a result of this valuation TPS employers will pay an increased contribution rate of 23.68% from September 2019 (this includes the administration levy of 0.8%). The timing of the implementation is to align its introduction with employers' budget planning cycles. Until then, employers will pay the current rate of 16.48%.

25. Pension commitments (continued)

The employer's pension costs paid to TPS in the year amounted to £2,317,000 (2018 - £2,570,000).

A copy of the valuation report and supporting documentation is on the Teachers' Pensions website.

Under the definitions set out in FRS 102, the TPS is an unfunded multi-employer pension scheme. The Trust has accounted for its contributions to the scheme as if it were a defined contribution scheme. The Trust has set out above the information available on the scheme.

Scheme Changes

The arrangements for a reformed Teachers' Pension Scheme, in line with the recommendations made by Lord Hutton, in particular the introduction of a Career Average Revalued Earnings (CARE) scheme, were implemented from 1 April 2015.

In December 2018, the Court of Appeal held that transitional protection provisions contained in the reformed judicial and firefighter pension schemes, introduced as part of public service pension reforms in 2015, gave rise to direct age discrimination and were therefore unlawful. The Supreme Court, in a decision made in June 2019, have rejected the Government's application for permission to appeal the Court of Appeal's ruling. The case will now be referred to an Employment Tribunal for a decision regarding the remedy which will need to be offered to those members of the two schemes who were subject of the age discrimination.

HM Treasury are clear that the ruling has implications for the other public service schemes, including the Teachers' Pension Scheme. Those implications are currently being considered and any impact on scheme costs is expected to be looked at within the next scheme valuation, which is currently scheduled to be based on April 2020 data and implemented in April 2023.

Local Government Pension Scheme

The LGPS is a funded defined benefit pension scheme, with the assets held in separate trustee-administered funds. The total contribution made for the year ended 31 August 2019 was £1,711,000 (2018 - £1,696,000), of which employer's contributions totalled £1,279,000 (2018 - £1,282,000) and employees' contributions totalled £ 432,000 (2018 - £414,000). The agreed contribution rates for future years are per cent for employers and 5.5 - 12.5 per cent for employees.

Parliament has agreed, at the request of the Secretary of State for Education, to a guarantee that, in the event of academy closure, outstanding Local Government Pension Scheme liabilities would be met by the Department for Education. The guarantee came into force on 18 July 2013.

25. Pension commitments (continued)

Principal actuarial assumptions

Principal actuarial assumptions - Lancashire County Pension Fund

	2019	2018
	%	%
Rate of increase in salaries	3.5	3.6
Rate of increase for pensions in payment/inflation	2.1	2.2
Discount rate for scheme liabilities	1.8	2.4
Inflation assumption (CPI)	2.0	2.1

Principal actuarial assumptions - East Sussex Pension Fund

	2019	2018
	%	%
Rate of increase in salaries	2.7	2.8
Rate of increase for pensions in payment/inflation	2.3	2.3
Discount rate for scheme liabilities	1.9	2.8
Inflation assumption (CPI)	2.3	2.9
Commutation of pensions to lump sums	50	50

Principal actuarial assumptions - London Borough of Haringey Pension Fund

	2019	2018
	%	%
Rate of increase in salaries	2.9	3.0
Rate of increase for pensions in payment/inflation	2.3	2.4
Discount rate for scheme liabilities	1.8	2.8
Inflation assumption (CPI)	2.3	2.4
Commutation of pensions to lump sums	50	50

Principal actuarial assumptions - Greater Manchester Pension Fund

	2019	2018
	%	%
Rate of increase in salaries	3.1	3.1
Rate of increase for pensions in payment/inflation	2.3	2.3
Discount rate for scheme liabilities	1.9	2.8
Inflation assumption (CPI)	2.3	2.3
Commutation of pensions to lump sums	55	55

25. Pension commitments (continued)

The current mortality assumptions include sufficient allowance for future improvements in mortality rates. The assumed life expectations on retirement age 65 are:

Mortality assumptions - Lancashire County Pension Fund

	2019 Years	2018 Years
Retiring today		
Males	22.8	22.7
Females	25.5	25.4
Retiring in 20 years		
Males	25.1	25.0
Females	28.2	28.0

Mortality assumptions - East Sussex Pension Fund

	2019 Years	2018 Years
Retiring today		
Males	21.2	22.1
Females	23.5	24.4
Retiring in 20 years		
Males	22.1	23.8
Females	24.9	26.3

Mortality assumptions - London Borough of Haringey Pension Fund

	2019 Years	2018 Years
Retiring today		
Males	20.9	21.8
Females	23.2	24.1
Retiring in 20 years		
Males	22.2	23.8
Females	24.5	26.0

Mortality assumptions - Greater Manchester Pension Fund

	2019 Years
Retiring today	
Males	20.6
Females	23.1
Retiring in 20 years	
Males	22.0
Females	24.8

25. Pension commitments (continued)

As at the 31 August 2019 the Trust had a pension liability of £14,971,000 (2018 - £8,313,000). The sensitivity analysis below would increase/ (decrease) the closing defined benefit obligation in the following way:

Sensitivity analysis

	2019 £000	2018 £000
Discount rate +0.1%	(940)	(655)
Discount rate -0.1%	950	655
Mortality assumption - 1 year increase	1,104	797
Mortality assumption - 1 year decrease	(1,098)	(797)
CPI rate +0.1%	860	617
CPI rate -0.1%	(850)	(617)

The Trust's share of the assets in the scheme was:

	At 31 August 2019 £000	At 31 August 2018 £000
Equities	12,434	10,875
Other bonds	3,061	1,926
Property	1,964	1,713
Cash and other liquid assets	429	393
Other managed funds	4,653	3,778
Total market value of assets	22,541	18,685

The actual return on scheme assets was £1,908,000 (2018 - £1,097,000).

The amounts recognised in the Statement of Financial Activities are as follows:

	2019 £000	2018 £000
Current service cost	2,209	2,429
Past service cost	377	-
Interest income	(552)	(420)
Interest cost	783	667
Administrative expenses	15	16
Total amount recognised in the Statement of Financial Activities	(2,832)	(2,692)

25. Pension commitments (continued)

Changes in the present value of the defined benefit obligations were as follows:

	2019 £000	2018 £000
At 1 September	26,998	21,159
Acquired on transfer of academy into the trust	216	4,791
Current service cost	2,209	2,413
Past service cost	377	-
Interest cost	783	667
Employee contributions	432	414
Actuarial losses/(gains)	6,393	(2,276)
Benefits paid	105	(170)
At 31 August	37,513	26,998

Changes in the fair value of the Trust's share of scheme assets were as follows:

	2019 £000	2018 £000
At 1 September	18,685	14,611
Donated upon Conversion	-	1,467
Transferred in on existing academies joining the trust	148	-
Interest income	552	420
Actuarial gains	1,356	677
Employer contributions	1,279	1,282
Employee contributions	432	414
Benefits paid	105	(170)
Administration expenses	(15)	(16)
At 31 August	22,542	18,685

26. Operating lease commitments

At 31 August 2019 the Trust had commitments to make future minimum lease payments under non-cancellable operating leases as follows:

	2019 £000	2018 £000
Not later than 1 year	58	101
Later than 1 year and not later than 5 years	87	138
	145	239

27. Members' liability

Each Member of the Charitable Company undertakes to contribute to the assets of the Company in the event of it being wound up while he/she is a Member, or within one year after he/she ceases to be a Member, such amount as may be required, not exceeding £10 for the debts and liabilities contracted before he/she ceases to be a Member.

28. Related party transactions

Owing to the nature of the Academy Trust and the composition of the Board of Trustees being drawn from local public and private sector organisations, transactions may take place with organisations in which the Trustees have an interest. All transactions involving such organisations are conducted in accordance with the requirements of the AFH, including notifying the ESFA of all transactions made on or after 1 April 2019 and obtaining their approval where required, and with the Academy Trust's financial regulations and normal procurement procedures relating to connected and related party transactions. The following related party transactions took place in the financial period.

The Rodney Aldridge Charitable Trust (RACT, operating as The Aldridge Foundation) is a member of Aldridge Education. The following transactions between the Trust and RACT took place during the year:

Expenditure

- Recharge of PA and CEO salary and legal costs from Aldridge Foundation to the Trust totalling £41,916 (2018: £23,900).

Income

- The Trust recharged Aldridge Foundation for the provision of marketing support and conference costs provided during the year of £5,102 (2018: £6,329). At the year end the outstanding balance was £406 (2018: £2,056).
- Aldridge Foundation provided the Trust with grants of £23,129 (Finish Learning Journey) and £58,965 (Integrated Communities Project).
- The Trust received a donation of £36,145 from Aldridge Foundation as a contribution to the running of the cricket centre at Brighton Aldridge Community Academy. The amount is outstanding at the year end.

The Trust shares office space with RMAI Limited (trading as Aldridge Wealth) and Warwick Estates (an investor company of RMAI Limited). The following transactions took place during the year:

Expenditure

- For the period April to August 2019, Warwick Estates held the lease for 8 City Road, London and recharged the Trust rent and occupancy costs for £25,174 (2018: £NIL). The lease costs to the trust from April 2019 to March 2020 is capped at £38,000 per annum.

Income

- Trust held the Lease for office space at 30 Millbank, London and recharged RMAI Limited £32,886 (2018: £88,654) for overhead costs for the period September 2018 to March 2019. At the year end the outstanding balance was £6,142 (2018: £30,047).
- For the period April to August 2019, the Trust recharged Warwick Estates £1,182 (2018: £NIL) for cleaning costs at 8 City Road, London. At the year end £1,182 (2018: £NIL) was outstanding.

The Trust sponsors Kensington Alridge Academy and UTC@harbourside. During the year the Trust charged the following support fee:

Income

- Kensington Alridge Academy received a charge of £109,074 from the Trust.
- UTC@harbourside received a charge of £25,668 from the Trust.

There were no other related party transactions.

29. Transfer of existing academies into the trust

AldridgeUTC@Media City

	Value reported by transferring trust £000	Transfer in recognised £000
Tangible fixed assets		
Long-term leasehold property	11,290	11,290
Assets under construction	55	55
Computer equipment	340	340
Current assets		
Debtors due within one year	393	393
Cash at bank and in hand	280	280
Liabilities		
Creditors due within one year	(477)	(477)
Creditors due after one year	(457)	(457)
Pensions		
Pensions - pension scheme assets	148	148
Pensions - pension scheme liabilities	(216)	(216)
Net assets	11,356	11,356

Adult Education (Portslade Adult Learning CIC)

	Value reported by transferring company £000	Transfer in recognised £000
Tangible fixed assets		
Long-term leasehold property	44	44
Assets under construction	2	2
Current assets		
Debtors due within one year	84	84
Cash at bank and in hand	89	89
Liabilities		
Creditors due within one year	(26)	(26)
Pensions		
Net assets	193	193

Adult Education (Portslade Adult Learning CIC) was not incorporated as an academy trust. The combination of its activities into the Trust are treated as if it was an existing academy.